

Table 16: Labour-income persistence by income percentile and shock size

Percentile of income in $t - 1$	Shock size, by conditional quantile τ						
	5	10	20	50	80	90	95
5	0.91	0.77	0.70	0.50	0.32	0.19	0.13
10	0.84	0.79	0.77	0.60	0.44	0.34	0.28
20	0.76	0.78	0.80	0.68	0.54	0.47	0.43
50	0.61	0.70	0.77	0.77	0.69	0.66	0.65
80	0.43	0.54	0.64	0.82	0.80	0.82	0.85
90	0.31	0.41	0.53	0.84	0.85	0.90	0.97
95	0.17	0.23	0.36	0.84	0.90	0.99	1.09

Source: Own elaboration based on the Spanish Survey of Household Finances (EFF, Banco de España) and on the methodological framework of Anghel et al. (2018).

Notes: This table reports own estimates of labour-income persistence across the conditional distribution. Rows refer to the household income position in the previous period, $t - 1$, while columns represent the size of the labour-income shock through the conditional quantile level τ . Each cell measures the sensitivity of current residualized labour income to lagged residualized labour income, evaluated at the mean age of the household reference person. The conditional income process is approximated through a flexible tensor-product Hermite polynomial basis, with degree $K_1 = 3$ for lagged income and degree $K_2 = 2$ for age. Quantile regressions are estimated at $\tau \in \{0.05, 0.10, 0.20, 0.50, 0.80, 0.90, 0.95\}$. Higher values indicate stronger persistence in the corresponding region of the income distribution, whereas lower values indicate greater mobility after the shock.